

Week ending: 3rd December 2021

Weekly Fixed Income Note

Key Highlights:

- T-bills were undersubscribed during the week recording an overall subscription rate of **85.58%** compared to **83.94%** recorded the previous week. The 91-day paper was oversubscribed with the performance rate coming at **217.30%** while the 182-day and 364-day papers were undersubscribed recording a subscription rate of **52.52%** and **88.99%** respectively. CBK accepted **95.18%** of the **KES 22.84Bn** worth of bids received. The current fiscal year borrowing is at **31.14%** ahead of prorated target. Yields on all the papers continued the upward trend edging up by **5.1bps**,**1.9bps** and **7.2bps** to close at **7.23%**,**7.85%** and **9.02%** for the 91-day,182-day and 364-day papers, respectively.

- In a bid to raise **KES 40.00Bn**, the Central Bank is reopening two bonds, **FXD4/2019/10** and **FXD1/2018/20**.The bonds will attract a coupon rate of **12.28%** and **13.20%** with an effective tenor of **8.0** years and **16.4** years. Bidding period is from **22/11/2021** to **07/12/202**. For further guidance on the bidding rates please see our primary auction note by clicking here.

- In the secondary market, the value of bonds traded decreased by **50.14%** to **KES 9.45 Bn** from **KES 18.96 Bn** recorded last week. On a year-to-date basis the yield curve has readjusted upwards in the mid range but held steady in the short and long end of the curve. FTSE Bond index closed the week at **96.47** taking the YTD loss to **1.06%.**

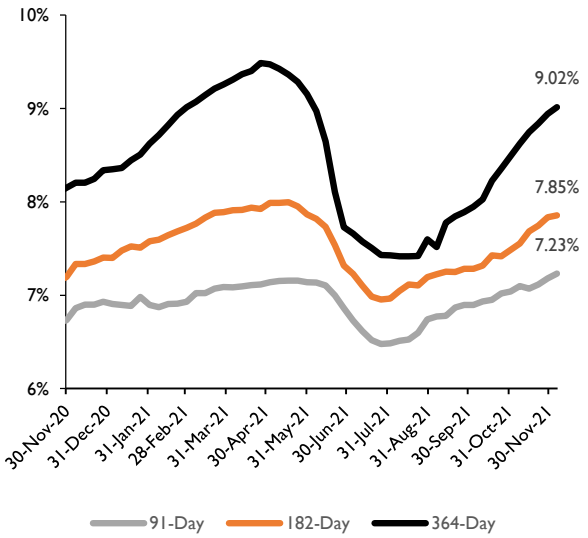
We expect activity in the secondary bond market to cool off in the coming week at least until the December primary issue. The discovery of a new and strenuous variant is likely to bring renewed fears among investors thus pushing them towards safer havens such as fixed income assets.

Macroeconomic data	Current	Previous
GDP (2Q2021 vs. 1Q2021)	10.10%	(0.70%)
Inflation (November)	5.80%	6.45%
Private sector credit growth (August)	7.00%	6.10%
Money Supply (August)	9.80%	6.90%

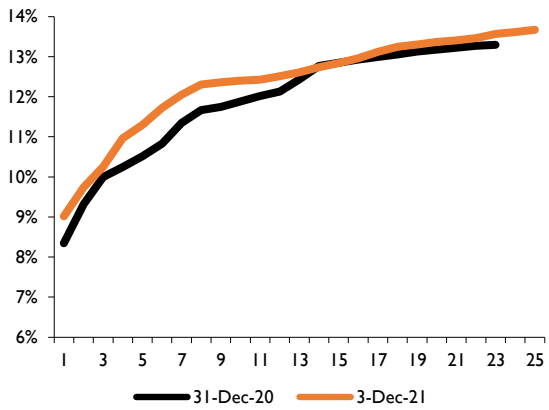
Key Indicators

	Current	Previous	% Change
91- Day	7.23%	7.18%	0.05%
182-Day	7.85%	7.84%	0.01%
364-Day	9.02%	8.94%	0.08%
Interbank Rate	5.23%	5.24%	0.01%

T-Bill Rates



NSE Yield Curve



MACROECONOMIC NEWS

Currency

The Kenya shilling further lost ground against the USD this past week depreciating **0.21%** to trade at **112.63** from **112.39** at the close of last week. The shilling has depreciated by **3.16%** against the USD on a year-to-date basis. The CBK's usable forex reserves currently stand at **USD 8,737** million (**5.34** months of import cover), a **0.41%** week-on-week decline from **USD 8,773** million (**5.36** months of import cover) recorded last week.

We expect the local currency to remain under pressure due to; the continued gains by the US Dollar against other global currencies, elevated global oil prices supported by reduced supply from OPEC members and reduced dollar inflow from key export earning sectors such as agriculture and tourism.

Liquidity

Liquidity in the money market remained relatively unchanged as reflected by the average interbank rate which marginally decreased to **5.23%** from **5.24%** recorded at the end of the previous week.

We expect the interbank rate to remain near the region of 5.00%, for the coming week, mainly driven by open market operations by the CBK. However, we expect government payment to continue supporting inflows.

November Inflation

Inflation figures for the month of November decreased , against a global trend of rising inflation, to **5.80**% from **6.45%** recorded in the month of October. However, the y/y prices of food and non-alcoholic beverage, transport and housing utilities indices increased to **9.92%**, **8.14%** and **6.24%** respectively. We partly attribute the increase in the food index to the reduced farm produce owing to unfavourable weather conditions prevailing in the country since the start of the year. Transport index decreased 0.16% on a month-on-month basis on the back of reduced bus fares. Similarly, the non-food and fuel(core) inflation decreased to **1.90%** from **2.20%. We expect headline inflation to remain below CBK's target of 2.50% - 7.50% keeping in mind the rising global inflation.**

November Stanbic PMI

Stanbic's PMI index for the month of November improved the most since January 2021 to stand at **53.0** from **51.4** recorded in October. The rise was attributable to the lifting of the 10pm -4am curfew which led to an increase in domestic demand. Furthermore, firms in the services, trade and construction sectors increased their output levels with work backlogs reducing the most in five months. The increased output also led to an impressive increase in purchase orders and new hires. High output costs, energy costs and taxes weighed down on output growth. **Despite the positive reading, we remained concerned about the prevailing macroeconomic factors affecting near term growth. Rising global inflation, a struggling local currency, the discovery of a new COVID-19 variant and global logistical challenges continue to pose recovery challenges. However, increased vaccinations provide the needed momentum for a recovery.**

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